

INDIAN ECONOMY

LEVEL
II



TERMINOLOGY

MODULE - 8

- 85. DEMAND FOR MONEY
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- 87. MONEY ILLUSION
- 88. CASH-BASED ACCOUNTING

- 89. ACCRUAL-BASED ACCOUNTING
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MODULE - 8**85****DEMAND FOR MONEY****86****LIQUIDITY TRAP****87****MONEY ILLUSION****88****CASH-BASED ACCOUNTING****89****ACCRUAL-BASED ACCOUNTING****90****ARBITRAGE****91****AUTHORISED CAPITAL****92****PAID-UP CAPITAL****93****RIGHTS ISSUE****94****PREFERENCE SHARE****95****CAMELS****96****ECONOMIES OF SCALE**

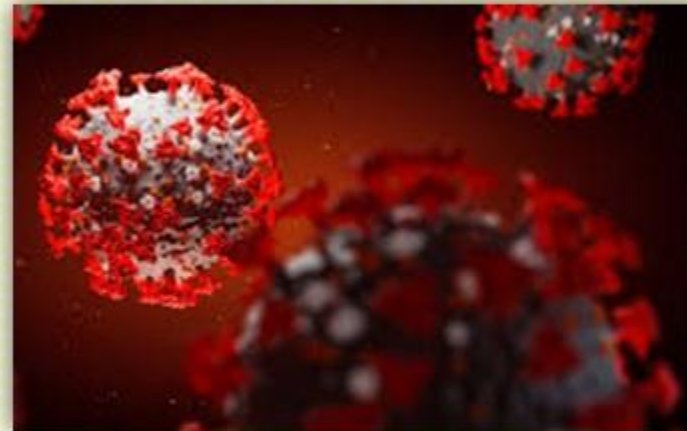
85

DEMAND FOR MONEY

TRANSACTION MOTIVE



PRECAUTIONARY MOTIVE



SPECULATIVE MOTIVE



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LIQUIDITY TRAP

- This may happen in an economic situation in which interest rates are abysmally low.
- Consumers keep their funds in cash savings with the belief that interest rates could soon rise. Hence, the preference of the people will be to hold cash instead of investments.



When consumers hoard cash, the Monetary Policy becomes ineffective.

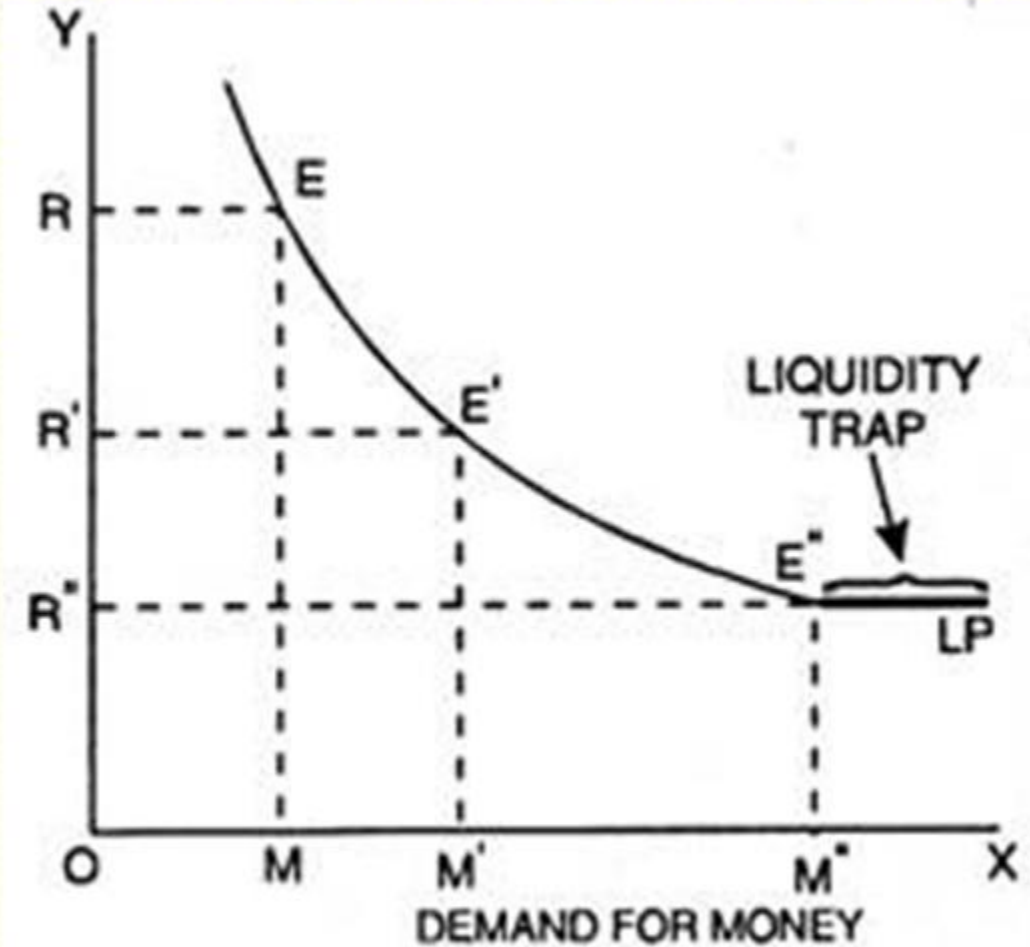


Fig. 12.

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MONEY ILLUSION

- The phrase was coined by the Economist JM Keynes.
- This is the situation when people think that they are getting richer during the times of high inflation.
- However, lower levels of money illusion is beneficial to grease the wheels of the economy. That is the precise reason, why the advanced countries look for reasonable level of inflation, say at least up to around 2%.
- However, developing countries sometimes suffer from higher rates of inflation.



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CASH-BASED ACCOUNTING

- Expenses are counted when actually paid and income is counted when actually received.
- It may be either through cash or cheque.

Union Budget quite often comes under criticism, as it follows Cash-based accounting! Normal practice across the world is Accrual-based accounting.

A CLASSIC EXAMPLE



When the mobiles are sold on March 31, 2020 and when the payments are received on April 1, 2020, the transaction is counted as during 2020-21, when the accounting is cash-based.

89 ACCRUAL-BASED ACCOUNTING

Transactions are counted as they happen, regardless of when the money is actually received or paid.

Union Budget should shift from its current “cash accounting” system to “accrual system”, in which due payments are accounted for and cannot be fudged by delaying payments.



A CLASSIC EXAMPLE

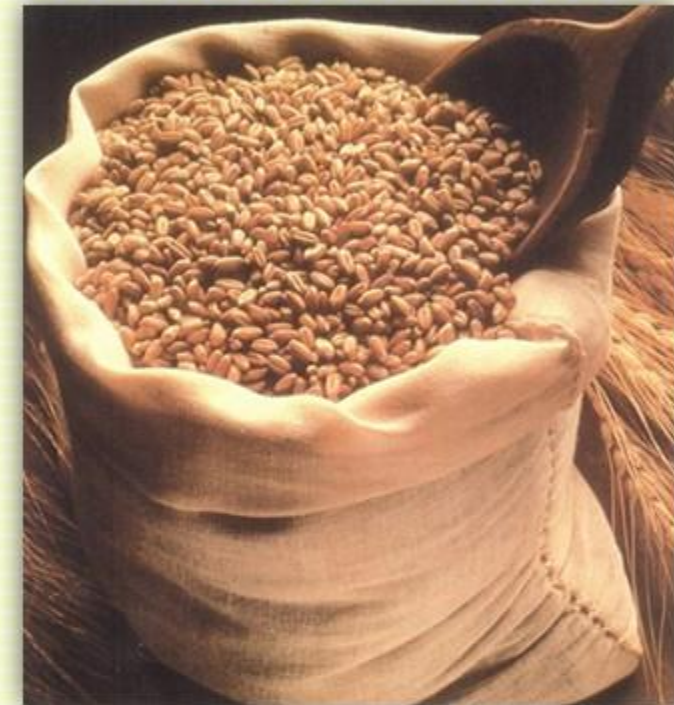


When the mobiles are sold on March 31, 2020 and when the payments are received on April 1, 2020, the transaction is counted as during 2019-20, when the accounting is accrual-based.

90

ARBITRAGE

- When price / interest difference is there in different markets, then people will try to take advantage out of it. They earn profits due to this price difference.
- **Example:** If the cost of a bag of wheat in Delhi is Rs. 5,000 and in Agra, if it is Rs. 3,000, then, people will try to take advantage of this difference. They will purchase in Agra and sell in Delhi and this is known as 'price arbitrage'.
- It can be applied for buying and selling of any commodity / product / bonds / foreign currencies in different markets / economies.



Delhi
Rs. 5,000
per bag

Agra
Rs. 3,000
per bag

91

AUTHORISED CAPITAL

- This is the share capital fixed in the Memorandum of Association and in the Articles of Association of a company as required by the Companies Act.
- This is the maximum limit up to which a company can issue shares.
- Companies can also extend their authorised capital through amendments to the Memorandum of Association.



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PAID-UP CAPITAL

- This is part of the authorised capital that has actually been paid-up by the shareholders.
- For a company, the authorised capital is the maximum limit.
- But, all the shares authorised may not have been issued or the issued shares have been only partly paid-up by then.



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RIGHTS ISSUE

- This is the offer given to the existing shareholders to purchase additional shares.
- The offer is in proportion to their existing shares.
- Normally, the offer is at lesser than the prevailing market share price.



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PREFERENCE SHARE

- These are most commonly referred to as preferred stock.
- In most of the cases, Preference Shares will have a fixed dividend.
- Preferred stockholders normally do not have any voting rights.
- If the company enters bankruptcy, they are entitled to be paid from company's assets before common stockholders.
- It is a source of hybrid financing, it has some features of equity shares and some features of debentures.



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CAMELS

This is the acronym used as a technique for evaluating and rating the operations and performance of the banks / financial institutions all over the world.



CAPITAL
ADEQUACY



ASSET QUALITY



MANAGEMENT



EARNINGS



LIQUIDITY



SYSTEMS OF
CONTROL

96

ECONOMIES OF SCALE

- When the firms output / scale / extent increases abnormally, then the unit cost is normally reduced.
- This is more prominent in digital companies than in manufacturing industries.

Flipkart



amazon

Jio Mart



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suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

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0866 244 44 72

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